Practice workbook · Finding equity and profit when records are incomplete

Working out a trader's equity at a date from assets and liabilities, and finding profit or loss by comparing opening and closing equity.

6 question parts: 1 worked-example retry and 5 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ACC-PIR-07

1. Question 2 · part a · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part a only.

2 Ed, a sole trader, provided the following information.

Balance at 1 May 2022	**$**
Fixtures and fittings – cost – provision for depreciation	 123 500 55 575
Bank	1 680
Inventory	25 500
Other payables	1 400
Trade receivables	76 000
Trade payables	25 100

(a) Calculate the equity at 1 May 2022. **(3)**

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1. Question 2 · part a · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part a only.

Balance at 30 April 2023	$
Fixtures and fittings – cost – provision for depreciation	 275 000 96 825
Bank	2 650 Cr
Bank loan (2030)	75 000
Inventory	17 600
Other payables	1 900
Trade receivables	86 500
Trade payables	18 540

During the year ended 30 April 2023 Ed took cash of $6 090 for his own use.

Profit for the year ended 30 April 2023 was $45 670 before:

- writing off an irrecoverable debt of $1 000
- creating a provision for irrecoverable debts of 2% of trade receivables.

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Turn over

1. Question 2 · part a · 3 marks

2023 NOV · Paper 02

Worked-example retry · Attempt part a only.

(b) Prepare the statement of financial position at 30 April 2023.

(17)

Ed
Statement of Financial Position at 30 April 2023

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1. Question 2 · part a · 3 marks · Working and answer

Working and answer

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2. Question 1 · part a · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part a only.

1 Mia provided the following information at 1 January 2019.

	$
Bank	5 750 Cr
Fixtures and fittings (cost $60 000)	48 000
Inventory	20 000
Other receivables	1 100
Trade payables	34 950
Trade receivables	40 000

(a) Calculate the equity at 1 January 2019.

(3)

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2. Question 1 · part a · 3 marks

2020 JAN · Paper 02

Further practice · Attempt part a only.

During the year ended 31 December 2019

- sales were $210 000
- purchases were $155 000
- Mia took $3 000 in goods and $15 150 in cash for personal use
- Mia introduced her private motor vehicle valued at $10 000
- profit for the year as a percentage of revenue was 10%.

At 31 December 2019 the inventory was valued at $25 000

(b) Prepare an extract of the income statement for the year ended 31 December 2019 showing the **trading section** only.

(6)

Mia

Income statement for the year ended 31 December 2019

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2. Question 1 · part a · 3 marks · Working and answer

Working and answer

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3. Question 2 · part a · 4 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

2 Amira, a sole trader, does not keep full accounting records. She has provided the following information.

	1 April 2020 $	31 March 2021 $
Motor vehicle		
Cost	40 000	50 000
Accumulated depreciation	19 520	**To be calculated**
Land	31 670	31 670
Cash at bank	1 350	1 650 Cr
Inventory	21 500	24 000
Other receivables - insurance	1 500	–
Trade payables	32 000	31 000
Trade receivables	34 500	37 500

During the year ended 31 March 2021 Amira sold her motor vehicle for $22 940.

In addition, she purchased a new motor vehicle costing $50 000. Motor vehicles are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Amira borrowed $50 000 as an interest free loan repayable in five equal annual instalments. The first instalment was paid on 31 March 2021.

Her cash drawings during the year amounted to $25 000 and she also took goods costing $5 000 for her personal use.

At 31 March 2021 irrecoverable debts of $2 500 were to be written off. A provision for irrecoverable debts of 5% was to be created.

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3. Question 2 · part a · 4 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

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3. Question 2 · part a · 4 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

(a) Prepare the statement of affairs (statement of financial position) at 1 April 2020.

(4)

Amira
Statement of affairs at 1 April 2020

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3. Question 2 · part a · 4 marks

2021 JUN · Paper 02

Further practice · Attempt part a only.

(b) Prepare the statement of affairs (statement of financial position) at 31 March 2021.

(11)

Amira
Statement of affairs at 31 March 2021

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3. Question 2 · part a · 4 marks · Working and answer

Working and answer

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4. Question 2 · part b · 11 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

2 Amira, a sole trader, does not keep full accounting records. She has provided the following information.

	1 April 2020 $	31 March 2021 $
Motor vehicle		
Cost	40 000	50 000
Accumulated depreciation	19 520	**To be calculated**
Land	31 670	31 670
Cash at bank	1 350	1 650 Cr
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4. Question 2 · part b · 11 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

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4. Question 2 · part b · 11 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

(a) Prepare the statement of affairs (statement of financial position) at 1 April 2020.

(4)

Amira
Statement of affairs at 1 April 2020

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4. Question 2 · part b · 11 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

(b) Prepare the statement of affairs (statement of financial position) at 31 March 2021.

(11)

Amira
Statement of affairs at 31 March 2021

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4. Question 2 · part b · 11 marks

2021 JUN · Paper 02

Further practice · Attempt part b only.

(c) Prepare the equity account for the year ended 31 March 2021 to show the profit or loss for the year.

(5)

Equity Account

Date	Details	$	Date	Details	$

(d) Explain, referring to a relevant accounting concept, why Amira:

(i) introduced a provision for irrecoverable debts

(2)

(ii) used the reducing balance method rather than the straight line method of depreciating her motor vehicle.

(3)

(Total for Question 2 = 25 marks)

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4. Question 2 · part b · 11 marks · Working and answer

Working and answer

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5. Question 2 · part a.i · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.i only.

2 On 1 January 2023, Thelma started in business by introducing cash of $5 000 and a motor vehicle valued at $12 000. On this day, she also took out a bank loan of $5 000 repayable in full on 31 December 2028.

(a) (i) Calculate the equity at 1 January 2023.

(1)

Thelma did not maintain a full set of accounting records but was able to provide the following information after her first year's trading.

Balances at 31 December 2023	$
Bank overdraft	2 198
Cash in hand	890
Inventory	14 568
Other receivables	200
Other payables	567
Trade receivables	2 167
Trade payables	2 325

During the year ended 31 December 2023:

- Thelma purchased an additional motor vehicle costing $10 000 that she funded from her own monies.
- All motor vehicles were depreciated by 20% per annum using the straight line method.
- A further bank loan, $3 000, was taken out. This was to be repaid in full on 30 June 2024.
- Thelma withdrew cash, $4 000, and goods costing $800

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5. Question 2 · part a.i · 1 mark

2024 JUN · Paper 02

Further practice · Attempt part a.i only.

(ii) Prepare the statement of financial position at 31 December 2023.

(15)

Thelma
Statement of financial position at 31 December 2023

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5. Question 2 · part a.i · 1 mark · Working and answer

Working and answer

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6. Question 2 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

2 Amira, a sole trader, does not keep full accounting records. She has provided the following information.

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Motor vehicle		
Cost	40 000	50 000
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Land	31 670	31 670
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In addition, she purchased a new motor vehicle costing $50 000. Motor vehicles are depreciated at 20% per annum using the reducing balance method. A full year's depreciation is charged in the year of purchase and none in the year of disposal.

Amira borrowed $50 000 as an interest free loan repayable in five equal annual instalments. The first instalment was paid on 31 March 2021.

Her cash drawings during the year amounted to $25 000 and she also took goods costing $5 000 for her personal use.

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6. Question 2 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

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6. Question 2 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

(a) Prepare the statement of affairs (statement of financial position) at 1 April 2020.

(4)

Amira
Statement of affairs at 1 April 2020

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6. Question 2 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

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(b) Prepare the statement of affairs (statement of financial position) at 31 March 2021.

(11)

Amira
Statement of affairs at 31 March 2021

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6. Question 2 · part c · 5 marks

2021 JUN · Paper 02

Further practice · Attempt part c only.

(c) Prepare the equity account for the year ended 31 March 2021 to show the profit or loss for the year.

(5)

Equity Account

Date	Details	$	Date	Details	$

(d) Explain, referring to a relevant accounting concept, why Amira:

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(ii) used the reducing balance method rather than the straight line method of depreciating her motor vehicle.

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6. Question 2 · part c · 5 marks · Working and answer

Working and answer

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